30e-1.[844] Alternatively, we could extend the shareholder report disclosure amendments to other registered management investment companies, including closed-end funds that register on Form N-2 and variable annuity separate accounts that register on Form N-3. Like shareholders in open-end funds registered on Form N-1A, shareholders in these other funds could benefit from more concise shareholder reports. However, the Commission has recently amended the disclosures that shareholders in these funds receive. For example, the recently adopted changes to closed-end fund disclosures include multiple changes to these funds' shareholder report disclosure.[845] Similarly, while the recently adopted changes to the variable insurance contract disclosure framework are focused more on prospectus disclosure and not shareholder report disclosure, we anticipate that these amendments would significantly change investors' experience with variable contract disclosure.[846] Because we lack information about shareholders' experiences with these new disclosure requirements, we would like to assess the impact of these changes prior to proposing additional disclosure changes for variable contracts or closed-end funds.

7. Requiring Funds to Comply with Proposed Rule 498B

Proposed rule 498B allows funds the option to deliver a notice of material changes to shareholders in lieu of delivering annual prospectus updates and prospectus stickers. Instead

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[844] Although all registered management investment companies are subject to rule 30e-1, the information a registered management investment company must include in its shareholder report is specified in the relevant Investment Company Act registration statement form (*i.e.*, Forms N-1A, N-2, or Form N-3).

[845] *See supra* footnote 129.

[846] *See* Variable Contract Summary Prospectus Adopting Release, *supra* footnote 27.

of providing funds with the option to rely on proposed rule 498B, we could require all affected funds to comply with the proposed rule.[847]

This alternative would have the benefit of creating a more consistent disclosure framework across funds and would result in fund shareholders generally receiving the same types of information from all funds. Under the proposal, prospectus delivery practices of funds would vary across funds depending on whether they choose to rely on rule 498B. We believe that the funds that choose not to rely on the rule would generally continue to deliver the annual prospectus update, while the funds that rely on rule 498B would not deliver the annual prospectus update and would instead provide to fund shareholders timely notification of material changes. Under this alternative, all fund shareholders would receive prompt notices of material changes to a fund and would not receive separate annual prospectus updates directly. This may benefit the shareholders of funds that otherwise would decline to rely on rule 498B, to the extent that delivery of the more concise materials may allow them to make better-informed investment decisions.

However, this alternative may impose burdens on funds that would not otherwise choose to rely on the proposed rule. For example, funds that do not currently use summary prospectuses, including some smaller funds, may determine that the benefits of proposed rule 498B do not justify its costs since the rule would require funds to provide summary and statutory prospectuses and other information online. As a result, the alternative approach may

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[847] Under the proposed rule 498B, investors would continue to receive a prospectus in connection with their initial fund investment, as they do today. Thereafter, a shareholder would no longer receive annual prospectus updates, in light of the fact that the shareholder would be receiving tailored shareholder reports (which would include, in the annual report, a summary of material changes that occurred over the prior year), and timely notifications to shareholders pursuant to proposed rule 498B regarding material fund changes as they occur.

impose greater costs on those funds, including some smaller funds, than on other funds. In addition, under the proposed amendments, all fund shareholders would receive information in the annual report about material fund changes. This uniform annual report disclosure would promote more consistent information for fund shareholders and thus facilitate better-informed investment decisions. In addition, we believe this proposed requirement would not lead to increased costs because of the optional nature of rule 498B for two reasons. First, funds currently tend to disclose more material changes in the annual prospectus update, and disclosure of these changes would generally appear in the proposed annual report for all funds. Second, for material changes that funds disclose through prospectus stickers, we expect that funds that do not rely on proposed rule 498B would continue to deliver prospectus stickers to notify shareholders of material changes.

8. Requiring Form N-CSR to be Tagged in Inline XBRL Format

The proposal would not change the format requirement for Form N-CSR, which is not required to be filed in a structured machine-readable format.[848] Alternatively, we could require management investment companies (including open-end funds, registered closed-end funds, and some variable annuity separate accounts) to tag some or all of Form N-CSR in the structured machine-readable Inline XBRL format.[849] This requirement could include

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[848] The Instructions to Form N-CSR do not prescribe a format requirement for submission of the Form. As an EDGAR Form without a separate prescribed format, Form N-CSR is typically submitted in HTML (.htm) format. *See* Vol. 2, Sec. 5.1 of the EDGAR Filer Manual (Ver. 53, Jan. 2020).

[849] Such a requirement would be implemented by revising Regulation S-T [17 CFR 232] and adding an Instruction to Form N-CSR which cites to Regulation S-T. In conjunction with the EDGAR Filer Manual, Regulation S-T governs the electronic submission of documents filed with the Commission. Modifying a structured format requirement for a Commission filing or series of filings can generally be accomplished through changes to Regulation S-T, and would

numerical detail tagging of the financial statements that would be included in Form N-CSR, as is currently required for operating company financial statements.[850] The requirement could also include text block tagging for narrative disclosures (such as the discussion of prior-year performance that is proposed to be included in the annual report for open-end funds and would thus be filed as part of Form N-CSR), as is currently required for principal risk disclosures in open-end fund prospectuses.[851]

Compared to the baseline (under which Form N-CSR is not required to be submitted in a structured machine-readable format), an Inline XBRL tagging requirement for Form N-CSR could benefit investors by enabling efficient retrieval, aggregation, and analysis of the information in Form N-CSR and by facilitating comparisons of that information across investment companies and time periods. There are studies suggesting that XBRL requirements increase the information content of prices, reduce the informational advantages held by insiders over public investors, heighten the relevance, understandability, and comparability of financial information for non-professional investors, and enhance the reports and

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not require dispersed changes to the various rules and forms that would be impacted by the format modification.

850 Under the proposal, open-end funds would be required to file financial statements on Form N-CSR under proposed Item 7(a) of that Form. *See supra* Section II.D.1(a). Closed-end funds and variable annuity separate accounts that are management investment companies would still be required to include financial statements in their shareholder reports, which are filed on Form N-CSR under Item 1 of that Form.

851 Under the proposal, open-end funds would include a discussion of prior year performance pursuant to Item 27A(d) of Form N-1A. *See supra* Section II.B.2(c). In addition, registered closed-end funds will be required to include a similar discussion in their shareholder reports as of August 1, 2021. *See* Closed-End Fund Offering Reform Adopting Release, *supra* footnote 128, at Sections II.I.2 and II.J.

recommendations published by financial analysts, thereby indirectly benefitting retail investors for whom such analysts represent a significant source of investment information.[852]

Requiring Inline XBRL tagging of Form N-CSR would impose additional filing preparation costs on management investment companies compared to the baseline. Currently, management investment companies are not required to tag their Form N-CSR filings in the Inline XBRL format. As such, this alternative would impose on management investment companies the incremental costs of tagging Form N-CSR disclosures, whether implemented using internal staff or external service providers. Such costs would be partially mitigated by the fact that management investment companies will be subject to Inline XBRL tagging requirements in other filings, independent of this proposal.[853] Consequently, the alternative of

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[852] *See, e.g.*, Yuyun Huang, Yuan George Shan, & Joey Wenling Yang, *Effects of Information Processing Costs on Price Informativeness: Evidence from XBRL Mandate* (SSRN, 2019) *available at* https://papers.ssrn.com/sol3/papers.cfm?abstract_id=3324198 ; Yu Cong, Jia Hao, & Lin Zou, *The Impact of XBRL Reporting on Market Efficiency*, 28 J. INFO. SYS. 181 (2014); Huang, Yuyun, Jerry T. Parwada, Yuan George Shan, and Joey (Wenling) Yang, *Insider Profitability and Public Information: Evidence from the XBRL Mandate* (SSRN, 2019) *available at* https://papers.ssrn.com/sol3/papers.cfm?abstract_id=3455105; Jacqueline Birt, Kala Muthusamy, & Poonam Bir (2017), *XBRL and the Qualitative Characteristics of Useful Financial Information*, 30 ACCT. RES. J 107 (2017); Chunhui Liu, Tawei Wang, & Lee J. Yao, *XBRL's Impact on Analyst Forecast Behavior: An Empirical Study*, 33 J. ACCT. & PUB. POL'Y 69 (2014); Andrew J. Felo, Joung W. Kim, & Jee-Hae Lim, *Can XBRL Detailed Tagging of Footnotes Improve Financial Analysts' Information Environment?*, 28 INT'L J. ACCT. INFO. SYS. 45 (2018); Karam Kim, Doojin Ryu, & Heejin Yang, *Investor Sentiment, Stock Returns, and Analyst Recommendation Changes*, 48(2) INV. ANALYSTS J. 89 (2019); Alastair Lawrence, James Ryans, & Estelle Sun, *Investor Demand for Sell-Side Research*, 92 ACCT. REV. (2017). However, note that the studies listed here which assessed the impact of XBRL were based on operating company financial statement data, not mutual fund risk/return summary data.

[853] In 2009, the Commission adopted rules requiring mutual fund risk/return summaries to be submitted in an XBRL format entirely within an exhibit to a filing. See Interactive Data to Improve Financial Reporting, Release No. 33-9002 (Jan. 30, 2009) [74 FR 6776 (Feb. 10, 2009)] as corrected by Release No. 33-9002A (Apr. 1, 2009) [74 FR 15666 (Apr. 7, 2009)]. In 2018, the Commission refined the requirement to provide information in an XBRL format by requiring that, for fiscal periods ending on or after September 17, 2020 (for fund groups with

tagging Form N-CSR would not impose on management investment companies the Inline XBRL implementation costs that are often associated with being subject to an Inline XBRL requirement for the first time (such as the cost of training in-house staff to prepare filings in Inline XBRL, and the cost to license Inline XBRL filing preparation software from vendors).

However, as noted above, the primary objective of the proposed disclosure framework is to promote shareholder reports that assist existing shareholders in monitoring their fund investments, leaving information that is more useful for new and prospective investors to compare funds and make investment decisions to be retained in the fund prospectus.[854] Because facilitating fund comparisons is one of the chief benefits of the Inline XBRL format, Inline XBRL requirements are likely more beneficial to investors in the context of prospectus disclosures rather than disclosures in periodic reports such as Form N-CSR. As such, the Commission has determined not to propose an Inline XBRL tagging requirement for Form N-CSR.

9. Modifying the AFFE Amendment

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at least $1 billion in assets under management) and September 17, 2021 (for all other fund groups), mutual fund filers submit this information using the Inline XBRL format, which embeds the tagged information in the document itself, rather than in an exhibit. See Inline XBRL Filing of Tagged Data, Release No. 33-10514 (June 28, 2018) [83 FR 40846 (Aug. 16, 2018)].

In 2020, the Commission adopted rules requiring certain closed-end fund prospectus disclosures to be tagged in Inline XBRL format for filings submitted on or after August 1, 2022 (for short-form eligible closed-end funds) and February 1, 2023 (for all other closed-end funds). *See* Closed-End Fund Offering Reform Adopting Release, *supra* footnote 128, at Sections II.I.1 and II.J. Also in 2020, the Commission adopted rules requiring certain variable insurance account prospectus disclosures to be tagged in Inline XBRL format for filings submitted on or after January 1, 2023. *See* Variable Contract Summary Prospectus Adopting Release, *supra* footnote 27.

[854] *See supra* Section II.A.2.

The proposal would allow some funds to disclose AFFE, the fees and expenses associated with acquired fund investments, in a footnote to the fee table and fee summary instead of reflecting the AFFE in the bottom line annual expenses in the fee table (as funds do today). Funds with investments in acquired funds that are limited to 10 percent or less of their total assets would be eligible to disclose AFFE in a footnote. Moving the AFFE information to a footnote to the fee table would enable the eligible funds to provide disclosures that investors may find easier to use in comparing the fees and expenses of funds with comparable investment strategies.

As alternatives, we could consider allowing more funds to move the AFFE disclosure into a footnote to the fee table by increasing the proposed eligibility threshold above 10%, such as to 50% or some other level, or by allowing all funds to move the AFFE disclosure into a footnote to the fee table, which may improve the salience of the expenses of the acquiring fund to investors. On the other hand, some funds may follow an investment strategy that leads them to incur significant expenses at a lower fund level, even where the fund does not have a majority of its assets invested in acquired funds. For those funds, moving the AFFE expenses into a footnote to the fee table may provide for expense disclosures that are less closely related to the expenses associated with the top-level fund's investment strategy. For example, some funds (such as certain target date funds) follow an investment strategy in which the acquiring fund has very low, or no, management fees. For those funds, a fee table that does not include the AFFE amount may confuse investors as to the expenses associated with investment in the fund.[855] Therefore, we are proposing to limit eligibility for the proposed

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[855] *See supra* footnote 816 (discussing some commenters' views on the importance of AFFE disclosure).

AFFE amendment to the more limited share of funds with 10% or less invested in acquired funds.

As another alternative, we could consider requiring all eligible funds to rely on the proposed AFFE amendments. This could make it easier for investors to compare similar funds because funds with acquired fund investments below the 10% threshold would all disclose AFFE in a footnote. It also could reduce investor uncertainty about how a fund is disclosing AFFE information. On the other hand, allowing funds to opt into reliance on the amendment would enable funds that have relatively low, or negative, net benefit from migrating to the footnote-based approach to opt out. Moreover, a mandatory approach could require funds that maintain acquired fund investments close to the 10% threshold to move AFFE disclosure back-and-forth between the fee table and an associated footnote over time, which could contribute to investor confusion.[856] Therefore, we are proposing to allow voluntary reliance on the proposed AFFE amendments.

F. Request for Comment

We seek comment on the economic analysis, including whether the analysis has: (1) identified all benefits and costs, including all effects on efficiency, competition, and capital formation; (2) given due consideration to each benefit and cost, including each effect on efficiency, competition, and capital formation; and (3) identified and considered reasonable alternatives to the proposed rules. We request and encourage any interested person to submit comments regarding the proposed rules, our analysis of the potential effects of the proposed rules, and other matters that may have an effect on the proposed rules. We request that

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[856] *See supra* paragraph accompanying footnote 621.

commenters identify sources of data and information as well as provide data and information to assist us in analyzing the economic consequences of the proposed rules and proposed amendments. We also are interested in comments on the qualitative benefits and costs we have identified and any benefits and costs we may have overlooked. In addition to our general request for comments on the economic analysis associated with the proposed rules and proposed amendments, we request specific comment on the following aspects of the proposal:

275. What effect would the proposal have on funds' delivery costs? Is our assessment correct that funds could use a trifold self-mailer, or a similar approach, to deliver a proposed shareholder report by mail? Why or why not? What alternatives to a trifold self-mailer might funds consider for delivering the proposed shareholder reports in paper to relevant shareholders? How would the planned mailing device affect the estimated benefits and costs of the proposal? Please provide quantitative information, if available.

276. We request comment on the costs to funds of the proposed requirement to prepare separate shareholder reports for each fund series. How would this requirement affect the cost to funds of preparing shareholder reports? Please answer this question separately for the transition cost and the ongoing costs of complying with this proposed requirement. Also please provide information on the additional costs to funds and other parties of delivering separate reports for separate fund series to shareholders, beyond any costs of report preparation.

277. We request comment on the costs of the Commission's proposed clarification of the term "appropriate broad-based securities market index" for funds that are required to present their performance in relation to an "appropriate broad-based securities market index" in the management's discussion of fund performance section of the shareholder report. Would

this proposed clarification result in increased index-licensing fees? To what extent would competition among index providers limit or otherwise affect these fees?

278. What fraction of shareholders currently request electronic delivery of fund disclosure?[857] Would the proposal cause an increase or decrease in this fraction relative to what would occur without the proposal? If so, explain and indicate the likely change. Provide supporting quantitative evidence, if available.

279. The proposal would affect financial intermediaries and other third parties that are involved in the distribution and use of the prospectus and shareholder reports, such as broker-dealers and third-party information providers. For each type of intermediary or third party, we are requesting comment on how many would be affected by the rule, the characteristics of those affected, and the consequences for retail investors. Please provide quantitative information, if available.

280. The effect of changes in disclosure under the proposal would be limited to the extent that retail investors rely on third parties for information and advice in selecting among financial products, where those third parties use more information than the proposed shareholder reports and amended prospectus disclosure. We are requesting comment on how many, or what fraction, of retail investors rely on advice from such third parties in choosing among funds or in monitoring fund investments. We are also requesting comment on whether

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[857] We understand that the Commission estimated that fifteen percent of investors in variable contracts have requested electronic delivery. *See* Variable Contract Summary Prospectus Adopting Release, *supra* footnote 27, at n.1030 and accompanying text. There are sufficient differences between the market for investment in variable contracts and the market for investment in ETFs and mutual funds, that we believe the variable contract estimate is not a suitable indicator for the analysis of the present rule proposal.